AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

B294

Financial Analysis and Decision Making

Mid-term Examination / Version: C

2025-2026 / Summer

3 – August – 2026

Number of Exam Pages: 3 (including this cover sheet)	**Time Allowed:** **2 Hours**

Instructions:

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- You **MUST** answer the questions using only the answer booklets provided
5- You **MUST** return the examination paper together with your answer booklets.
6- Do **NOT** write your answers in pencil except graphs/sketches
7- Students are **NOT** allowed to use any type of dictionary or mobile phones dur examination
8- Students are allowed to use ***non-programmable*** calculators only (if needed).
9- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Pc

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Question 1 (30 marks)

Contemporary economies feature many different types of organisations, each set up with the intention of satisfying the various needs of the societies in which they operate. Such organization have key features within their operations. Briefly list and discuss each of these key features, providing at least one example for each feature.

Question 2 (30 marks)

You have been given the following projecting for cash flows for two competing projects. Both projects have a life span of 6 years.

Required

1. Calculate the *future value* for cash stream A
2. Calculate the *present value* of cash stream B.

Note: Students must show their understanding by showing their calculation steps.

Year	Cash Stream A	Cash Stream B
1	$200	$350
2	(500)	(250)
3	400	0
4	300	350
5	400	500
6	500	600
Interest Rate	8%	12%

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Question 3 (25 marks):

Holland Inc. has 8 million shares in issue. The current market price is $25 per share. The company's debt is publicly traded on the Berlin Stock Exchange and the most recent quote for its price was at 92% of face value. The debt has a total face value of $50 million and the company's credit risk premium is currently 2.75%. The company's beta is estimated at 1.25, the current market return in 10.4% and its corporate tax rate is 40%. The going rate on a 5-year government treasury bond is 3.4%.

Required: Calculate the company's WACC.

Question 4 (15 marks):

Jimmy, a recent university graduate, is making plans to pay back the 50,000KD in student loans that he took out during the past **five** years. The student loans require him to pay interest of 6 percent. Payments will be *made monthly beginning today*, and the loan must be repaid within **10 years**. Based on this information, how much must Jimmy pay each month?

Note: Students can utilize one of the following equations to solve question 4.

$$FVAD = PMT\left[\frac{\left(1+\frac{i}{}\right)^{n\,x}-1}{\frac{i}{}}\right](1+\frac{i}{})$$

$$PVAD = PMT\left[\frac{1-\frac{1}{\left(1+\frac{i}{}\right)^{n\,x}}}{\frac{i}{}}\right](1+\frac{i}{})$$

END OF EXAM

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